SUMMIT VALOR

BUSINESS CONSULTING & PROFESSIONAL SERVICES

FREE WORKBOOK

IS YOUR BUSINESS IDEA READY?

A Practical Assessment Checklist for Aspiring Entrepreneurs

A guided workbook to help you examine your idea, identify what needs further research, and determine your next steps.

WELCOME

How to Use This Workbook

Every business starts with an idea. Far fewer ideas start with enough evidence. This workbook helps you see where your own idea stands, so that your next move is based on what you have learned and not only on what you hope is true.

Who this workbook is for

Aspiring entrepreneurs, first-time founders, and anyone exploring a business opportunity. It is most useful if you have an idea and want to know how well researched it is before you develop it further.

Why enthusiasm is not enough

Enthusiasm starts ideas and carries founders through hard work. It cannot tell you whether customers have the problem, whether they would pay to solve it, or whether you can deliver at a cost that works. Those are questions of evidence, and each one can be investigated.

Why research comes before big spending

Money spent on stock, equipment, branding, premises, or software before you have learned from real customers is hard to recover if the idea has to change. Learning is usually cheaper than building.

How to answer honestly

Use the information you have today. Write what you actually know, not what you hope. If you have never spoken to a potential customer, say so. Honest gaps are useful because they show you where to look next.

If you cannot answer a question

An unanswered question is not automatically a bad sign. It means the question is still open. Mark it Unknown, write down how you could find out, and move on.

MARK WHAT YOU WRITE: VERIFIED, ASSUMPTION, OR UNKNOWN

☐ **Verified**	Supported by credible evidence or direct observation.	**EXAMPLE** Three business owners I interviewed told me they do this task by hand every week.
☐ **Assumption**	Believed to be true, but not yet tested.	**EXAMPLE** Business owners would pay to stop doing this task.
☐ **Unknown**	More research is needed.	**EXAMPLE** How much owners currently spend on this task.

Most answers in this workbook have these three boxes nearby. Tick one for each answer. Examples throughout are invented for illustration only.

AN INITIAL ASSESSMENT, NOT A VERDICT

This workbook is an initial assessment tool. It is not a guarantee of business viability or commercial success. It can show you what you have evidence for, what you are assuming, and what to look into next. You do not need to finish it in one sitting; return to it as you learn.

SECTION 1

Define Your Business Idea

A clear idea can be explained in a few plain sentences: what you would provide, to whom, and why they would need it. If that is hard to do, some parts are still undecided, and that is a fine place to start.

> **EXAMPLE (INVENTED, FOR ILLUSTRATION ONLY)**
>
> "My business idea is to provide **monthly bookkeeping support** to **owners of small salons** who need **accurate records but have little time to keep them**. My proposed solution will help them by **handling their record-keeping on a fixed monthly schedule**."

Complete your idea statement

My business idea is to provide _____

to _____

who need _____

My proposed solution will help them by _____

Guided prompts

1. **What product or service are you considering?**
   Describe what you would actually provide, in plain words.

☐ Verified ☐ Assumption ☐ Unknown

2. **What problem does it solve, or what need does it address?**
   What goes wrong, or what is missing, for the person you hope to serve?

☐ Verified ☐ Assumption ☐ Unknown

3 **Who might experience this problem or need?**

Describe a type of person or organization. "Everyone" is not an answer yet; Section 2 will help you narrow it.

☐ Verified ☐ Assumption ☐ Unknown

4 **How might your proposed solution help?**

What would become easier, faster, cheaper, safer, or better for them?

☐ Verified ☐ Assumption ☐ Unknown

5 **Why are you interested in this particular idea?**

Experience, skills, something you noticed, an opportunity? This is useful context, but your interest is not evidence that customers want it.

☐ Verified ☐ Assumption ☐ Unknown

6 **What assumptions are you currently making?**

List what must be true for this idea to work. For example: "Customers will pay for this." "I can deliver it on my own." "People know they have this problem."

☐ Verified ☐ Assumption ☐ Unknown

CLARITY CHECK

Could someone who does not know you understand what the business does, whom it serves, and what problem it addresses?

☐ Yes ☐ Partly ☐ Not Yet

If Partly or Not Yet, which part is unclear? Try reading your statement to someone outside your circle and note what they ask.

SECTION 2

Identify Your Target Customer

"Everyone" is rarely a useful starting definition. If you try to serve everyone, it is hard to decide what to say, where to find people, or what to test. A narrower starting group lets you learn faster, and you can widen it later once you have evidence.

Your target customer can be a type of person or organization. Age, location, or income can help you find them, but **demographics alone do not show demand.** Their situations, needs, and behavior tell you more.

EXAMPLE **Too broad:** "Anyone who needs help with their records." **Better starting point:** "Owners of small salons who keep records in notebooks and find month-end stressful." (Invented, for illustration only.)

Guided questions

1. **Who is most likely to need this solution?**
   Think about who feels the problem most strongly or most often.

2. **What situation would make them look for it?**
   What happens just before someone starts searching?

3. **How do they currently address the problem?**
   Tools, people, workarounds, or simply putting up with it.

4. **What might prevent them from buying?**

5. **Where could I reach or interview potential customers?**
   Specific places, groups, communities, or people who could introduce you.

Target customer profile worksheet

Fill in what you know today. Use the status boxes to show how sure you are: **V** Verified, **A** Assumption, **U** Unknown. Many boxes will be A or U at this stage; that is normal and useful.

PROFILE ELEMENT	MY NOTES	STATUS
Who they are The type of person or organization you want to serve.		☐ V ☐ A ☐ U
Relevant characteristics What about them matters to this problem? Role, situation, experience, size, location.		☐ V ☐ A ☐ U
Needs, challenges, and goals What are they trying to achieve? What gets in the way?		☐ V ☐ A ☐ U
Trigger situation What makes them start looking for a solution?		☐ V ☐ A ☐ U
Where they look for solutions Where do they search, ask, or get recommendations?		☐ V ☐ A ☐ U
How they decide to buy Who is involved, what they compare, who pays, how long it takes.		☐ V ☐ A ☐ U
What might stop them Cost, trust, habit, timing, approval, effort to switch.		☐ V ☐ A ☐ U
Where I can reach them Places, communities, or introductions for interviews.		☐ V ☐ A ☐ U

MY INITIAL TARGET CUSTOMER, IN ONE SENTENCE

SECTION 3

Assess the Problem

A problem you find interesting is not the same as a problem customers actually experience. One way to tell the difference is to look for what people already do about it: workarounds, complaints, requests for help, time or money spent. Finding none does not prove the problem is absent. It tells you what to investigate.

Guided questions

1. **What specific problem am I trying to solve?**
   Be specific. "People struggle with money" is too broad. "Small shop owners do not know which products earn them a profit" is more specific. (Invented example.)

2. **How frequently might the problem occur?**
   Daily, weekly, yearly, once in a lifetime? A rare problem can still matter if the consequences are serious.

3. **What consequences could it have for the intended customer?**
   Lost time, lost money, stress, missed opportunities, safety or compliance risks.

4. **What evidence suggests people experience this problem?**
   Conversations, things you have observed, public reviews or complaints. Your own experience counts as one data point.

5. **Have I spoken directly with potential customers?**
   Friends and family are often too polite to be reliable. Speak with people who genuinely fit your target group.
   ☐ Yes, with about _____ people ☐ Not yet

Talking to potential customers

Good interviews ask people about their own experience. Poor ones invite compliments. Ask how people **currently handle** the problem, and listen more than you pitch.

ASK THINGS LIKE

"Tell me about the last time you dealt with this."

"What did you do? What was hard about it?"

"What have you tried? What did it cost you in time or money?"

"What happens if you do nothing?"

BE CAREFUL WITH

"Don't you think this is a great idea?"

"Would you use something like this?" (People say yes to be polite.)

Describing your solution before hearing about their experience.

Take notes as you go and be open about why you are asking. Record what people say and do, not just what you hoped to hear.

Evidence tracker

Write each belief about the problem, what evidence you currently have, and what you still need to verify. Be honest if the evidence column is empty.

WHAT I BELIEVE	EVIDENCE I CURRENTLY HAVE	WHAT I STILL NEED TO VERIFY
EXAMPLE Salon owners find month-end record-keeping stressful.	Two owners I know said so. No wider conversations yet.	Ask more owners, outside my own circle, how they currently do it.

6 What have I learned from their responses?

Note surprises and anything that contradicted what you expected. Which of your beliefs is now Verified, and which still an Assumption?

SECTION 4

Explore Market Demand

Demand means people who want a solution and are willing to pay for it. **Interest, social media likes, compliments, and friends saying an idea is good do not necessarily show willingness to pay.** Praise costs people nothing; stronger signals involve the customer's time, effort, or money.

Weaker signals

Likes, compliments, "great idea!", encouragement from friends, a poll with a few votes.

Stronger signals

People already paying for alternatives, actively searching for help, giving up time to talk, or agreeing to a pilot.

Ways to investigate demand

1 Interview potential customers

Ask relevant people how they handle the problem today.

2 Review credible industry reports

Note who produced them, and when.

3 Study search behavior and public discussions

What do people ask for or complain about?

4 Examine existing products and services

What do customers choose and pay for?

5 Test a clearly described offer

Share an honest description with a small relevant audience.

6 Collect legitimate expressions of interest

Such as sign-ups or requests for details.

7 Run a small pilot where appropriate

Serve a few real customers in a limited way.

KEEP THIS IN MIND

No single survey, social media poll, or small test can conclusively prove demand. Each gives you one piece of evidence. Look for patterns across several sources, test with people who genuinely fit your target group, and notice results that contradict your hopes. Be transparent when testing, and do not take payment for something you cannot yet deliver.

Guided questions

1. **What evidence suggests people are actively seeking a solution?**

2. **Are people already paying for alternatives?**

3 **What would indicate that potential customers are willing to pay?**

4 **What inexpensive experiment could I run to learn more?**

5 **What result would make me reconsider or refine my idea?**

Validation experiment planner

> **EXAMPLE** **Assumption:** Salon owners would pay for monthly record-keeping help. **Method:** Describe the service and ask whether they would join a small pilot. **People:** Owners outside my circle. **Evidence:** How many agree, and what objections arise. **Next:** Refine or pilot. (Invented.)

EXPERIMENT 1	
Assumption to test	
Method	
People to reach	
Evidence to collect	
What I learned	
Next decision	

EXPERIMENT 2	
Assumption to test	
Method	
People to reach	
Evidence to collect	
What I learned	
Next decision	

SECTION 5

Understand the Competition

Customers already deal with the problem somehow, even if the solution is imperfect. Your competition is whatever they do today. That includes three kinds of alternatives:

Direct competitors
Businesses offering a similar solution to a similar customer.

Indirect alternatives
Different ways of meeting the same need, such as another type of product or doing it in-house.

Doing nothing
Many customers live with the problem or delay solving it. If that is acceptable to them, it is a real competitor.

Competitor and alternatives table

Research each entry yourself and record only what you can observe or verify. "Appears" is deliberate: you are seeing these from the outside.

EXISTING BUSINESS OR ALTERNATIVE	CUSTOMER GROUP SERVED	WHAT IT APPEARS TO DO WELL	POSSIBLE GAPS OR LIMITATIONS	WHAT I NEED TO INVESTIGATE FURTHER
EXAMPLE Notebook records kept by the owner	Small business owners	Free and familiar	Time-consuming; errors may go unnoticed	How much time owners say it takes

Guided questions

1. **What solutions are people using today?**

2. **Who else serves this customer group?**

3. **What do customers appear to value about existing solutions?**
   Look at reviews, comments, and what people ask for.

4. **Where might customers remain underserved?**
   Be careful: a gap you can see may not be a gap customers care about.

5. **What would make my offer meaningfully different or more suitable for a specific group?**

> **DIFFERENT IS NOT AUTOMATICALLY VALUABLE**
>
> A difference matters only if the intended customer notices it, cares about it, and would choose it over their current option. Test your difference with real customers instead of assuming it.

SECTION 6

Review the Business Model

A business idea also needs a plausible way to create, deliver, and capture value: someone must pay for something you can provide at a cost that works. Three terms help here.

Revenue
Money coming in from sales.

Expenses
Money going out to run the business: materials, tools, transport, software, and so on.

Profit
What remains of revenue after expenses are paid.

Revenue is not profit. A business can have steady sales and still earn little if its expenses are almost as large. Customer interest is not revenue either. **Do not estimate profit until you know your likely costs and what customers will actually pay.** If you do not know a number, write "unknown" rather than guessing.

Guided questions

1. **What exactly could I sell?**
2. **Who would pay for it?**
3. **How might I charge?**
4. **What costs might be involved?**
5. **What resources or suppliers might I need?**
6. **How would customers discover and purchase it?**
7. **How would it be delivered?**
8. **What could make delivery difficult?**
9. **What information do I need before estimating profitability?**

Business model worksheet

Write in words first. Leave amounts blank or marked "unknown" until you have a basis for them.

MY BUSINESS MODEL, IN BRIEF	
Potential offer What exactly you could sell.	
Potential customer Who would pay? The user and the payer may differ.	
Possible revenue source How you might charge.	
Likely startup costs One-time costs to get started.	
Recurring costs Costs that repeat, such as monthly or per order.	
Delivery requirements What is needed to deliver the offer well.	
Main financial unknowns What you would need to find out first.	

Cost inventory

List each cost you can think of and show how sure you are about it.

COST ITEM	ONE-TIME OR RECURRING	HOW SURE AM I?
		☐ Known ☐ Est. ☐ Unknown
		☐ Known ☐ Est. ☐ Unknown
		☐ Known ☐ Est. ☐ Unknown
		☐ Known ☐ Est. ☐ Unknown
		☐ Known ☐ Est. ☐ Unknown

SECTION 7

Assess Your Readiness

Readiness does not mean having everything figured out. It means knowing what you need for your next step, what you can learn later, and where the real gaps are. For each gap, ask: **Do I need this to run my next test?** If not, it can probably wait.

AREA	CURRENT POSITION	GAP OR CONCERN	NEXT STEP
EXAMPLE Access to potential customers	I know two owners personally.	Both are friends and may be too polite. No one outside my circle yet.	Ask each for introductions to owners they do not know well.
Relevant skills and experience			
Skills I need to develop			
Available time			
Resources and tools			
Access to potential customers			
Legal, regulatory, safety, or professional requirements See note below			
Potential suppliers or collaborators			
Financial constraints			
Support and advice I may need			

Legal, regulatory, safety, and professional requirements vary by industry and location. This workbook cannot tell you what applies to you. Check with the relevant authority or a qualified professional.

Guided questions

1 What can I already do?

2 What will I need to learn or obtain?

3 What can I test with the resources I currently have?

4 What should I avoid spending money on until I have more evidence?

5 Which skills or resources are essential for the next stage?

6 What risks or external requirements need further investigation?

Essential now, or can wait?

ESSENTIAL FOR MY NEXT STEP	CAN BE DEVELOPED LATER

REMEMBER

You do not need to be fully ready before you begin. Early steps can be small and inexpensive. The aim is to avoid large commitments before the key questions have been answered.

SECTION 8

Validate Before Investing Heavily

Validation means gathering evidence to reduce uncertainty before you commit significant time or money. Tick each step when done and note the evidence behind it.

DONE	ACTION	NOTES OR EVIDENCE
☐	**1. Write a clear problem statement** One or two sentences: who has what problem, and in what situation.	
☐	**2. Define a specific initial customer group** Narrow enough that you could name where to find them.	
☐	**3. Research existing alternatives** Include what customers do today, even if it is "nothing".	
☐	**4. Speak with relevant potential customers** Ask about their experience before describing your idea.	
☐	**5. Record recurring needs and objections** Note what comes up more than once.	
☐	**6. Test one important assumption** Choose the one that would matter most if it turned out to be wrong.	
☐	**7. Estimate the basic costs of delivering the offer** Mark anything you cannot estimate as unknown.	
☐	**8. Identify relevant legal or regulatory requirements** Ask the relevant authority or a qualified professional.	
☐	**9. Review what the evidence does and does not show** Separate what you learned from what you hoped.	
☐	**10. Decide your direction** Proceed with this idea, refine it, or investigate a different direction. ☐ Proceed ☐ Refine ☐ Different direction	

A PROCESS, NOT A CERTIFICATE

Validation is an ongoing learning process, not a one-time certification. New evidence can strengthen, change, or challenge what you thought you knew, so revisit this checklist as you learn.

SECTION 9

Business Idea Assessment Scorecard

Circle one rating for each area. **The score reflects your current level of preparation and evidence, not the probability that the business will succeed.**

1 Little or no evidence yet	**2** Some initial understanding, but important gaps remain	**3** Reasonable understanding supported by some evidence	**4** Stronger understanding supported by relevant evidence

ASSESSMENT AREA	SCORE (1 TO 4)	EVIDENCE OR NOTES	FOLLOW-UP REQUIRED
Clarity of the idea Can a stranger understand it?	(1) (2) (3) (4)		
Understanding of the target customer Specific, and based on observation?	(1) (2) (3) (4)		
Evidence of the problem Seen or heard directly?	(1) (2) (3) (4)		
Evidence of demand Signs of willingness to pay?	(1) (2) (3) (4)		
Understanding of existing alternatives Researched, not guessed?	(1) (2) (3) (4)		
Plausibility of the business model A workable way to earn and deliver?	(1) (2) (3) (4)		
Awareness of costs and requirements Costs, legal and practical needs?	(1) (2) (3) (4)		
Readiness for the next validation step Can I run the next test?	(1) (2) (3) (4)		
Total score	**_____ / 32** (add your eight scores; the lowest possible is 8)		

READING YOUR RESULTS WITH CARE

Scores of 1: little evidence. These areas need investigation.

Scores of 2 or 3: some evidence. These areas may need further testing.

Scores of 4: stronger evidence. These areas may be ready for the next practical experiment.

Serious unanswered questions should be prioritized regardless of the total. A high score built on unsupported assumptions is not meaningful evidence, so check that every 3 or 4 rests on something you can point to.

Your next step

Based on what I know today, my next step is to:

- ☐ Continue researching the idea
- ☐ Test a key assumption
- ☐ Refine the target customer or offer
- ☐ Investigate costs or requirements
- ☐ Proceed to a small, controlled pilot
- ☐ Reconsider the idea based on the evidence

1 Why did I choose this?

Which evidence, or lack of evidence, led you here?

2 Which area of the scorecard worries me most, and why?

3 What would I need to see before choosing a different next step?

SECTION 10

My Next-Step Action Plan

My three most important unanswered questions

1

2

3

The assumption I need to test first

Action plan

Choose up to three actions and list them in priority order. Doing one well is better than starting all three.

#	THE ACTION I WILL TAKE	WHO OR WHAT CAN HELP	EVIDENCE I HOPE TO COLLECT	TARGET DATE	HOW I WILL REVIEW WHAT I LEARN
1					
2					
3					

CHOOSING YOUR NEXT STEP

The best next step is the one that addresses an important uncertainty with a practical and proportionate amount of effort. It should teach you something real without committing more time or money than the question deserves.

CONTINUE WITH SUMMIT VALOR

Your Next Step Starts With Clarity.

An idea becomes easier to evaluate when you understand the problem it addresses, the people it serves, the evidence behind it, and the work required to develop it.

If you need structured support to assess your business idea, examine its assumptions, and determine practical next steps, Summit Valor's Business Idea Assessment service can help you approach the process with greater clarity.

Explore Business Consulting With Summit Valor

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> **ABOUT SUMMIT VALOR**
>
> Summit Valor is a business consulting and professional services firm. It helps aspiring entrepreneurs turn ideas into structured ventures, and helps growing businesses strengthen their strategy, systems, operations, and execution.

Bold Moves. Brave Futures.

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